

The Operating System for Private Markets

Internal draft.

Pars destruens

1. Software is strategically obsolete

Every tool an investment firm uses has the same shape.

Something happens. A person notices. The person opens a tool and types what happened. The tool stores it. Later, someone opens the tool and reads it back.

The person is the sensor, the transcriber, and the retrieval system. The software contributes a filing cabinet with a search box.

This is why people in finance hate every tool they use — not because the tools are badly built, but because **you work for them**. They tell you nothing. You tell them things, and they agree to remember, provided you keep telling them.

That arrangement was never a design choice. It was a constraint. Software could not read, could not infer, could not act. So a human had to stand in front of it and translate the world into fields.

Remove the constraint and the entire category collapses at once. Not because a better version exists. Because the reason for its existence has been withdrawn.

2. What dies, specifically

The CRM. Each partner maintains a pipeline. Setting it up is work. Keeping it correct is work nobody does. Open a deal and you find a static object: a folder of emails, a log of calls, a stage label. It knows who spoke to whom. It does not know why the deal is stuck, what is unresolved, or that the person who introduced you has gone quiet for three weeks.

Meanwhile the relationship graph already exists — in calendars, in transcripts, in mail. It never needed to be entered. **A graph you maintain is wrong by the end of the quarter. A graph that is observed is correct by construction.** There is nothing for the CRM to do.

Notion, Sharepoint, the data room. They store artifacts. Nobody wants an artifact. Nobody wants the model; they want the growth rate in row 42, and they want to know it contradicts slide 14 of the deck. The unit of meaning is the claim, not the container. Once the system reads what an artifact asserts, folder structure is an implementation detail and filing is dead labour.

The pipeline tracker. Stage: Diligence. This is a lossy compression of a state the system already holds losslessly — which questions are open, which are blocked, and on what. A summary of something you have in full carries no information.

The portfolio management system. It shows the position. In four years it has never told you that the assumption you underwrote has been falsified, because it does not know an assumption was made.

Replace it and you do not get a better dashboard. You get an agent that talks to the company directly: requests the monthly pack, reads it, asks management why gross margin moved 200bps, notices that revenue recognition changed between two reporting periods and that nobody mentioned it, and puts three things in front of the deal partner — one of which is urgent. The partner replies to the agent. The agent goes back to the company.

In buyout that is most of what a junior operating partner does. In venture and growth it is most of what nobody has time to do, which is why boards are surprised.

3. What survives

Proprietary data. A private company database, a proprietary index. We do not replace it. We query it, and you never see its interface. It becomes a source, not a destination.

Systems of legal record. The signed contract. The cap table. The fund's books. These record obligation, not reasoning. They exist for reasons unaffected by anything here.

Excel. Not as a concession — as a design principle. Excel is the substrate finance people think in, and any product that demands they leave it will be abandoned inside a month. The system reads the model: every cell, every formula, every change. It writes back into it. You can simulate on the platform if you want. Most of the time you will not, and that is correct.

The distinction that matters: **software that holds something nobody else has, or that people think inside, survives. Software whose entire function is to remember what you told it does not.**

Pars construens

4. What the system is

Not a better tool for a dispersed process. **The unification of the process into one substrate,** where the reasoning itself becomes the material the system operates on.

Three functions:

It unifies. A deal lives across six workstreams, four tools, nine inboxes. Nobody sees all of it. The system holds all of it continuously, and — this is the part no person can do — understands how each part bears on the others.

It proposes. It reads what arrives, tests it against what is known, surfaces what contradicts, runs what it may run, and states what it would do next. It plans forward. A human confirms, corrects, or declines.

It bounds. Some operations a machine performs alone. Others commit the firm's capital or its name. That boundary is a table, not a judgement, which is why it can be audited.

5. The claim

Reasoning is not currently data.

Artifacts are stored. What the firm was trying to establish, what it established, what it could not, and what it proceeded on regardless — none of that exists anywhere except in the head of whoever did the work.

Make it data and something happens immediately, in the present tense: **every data point the firm holds, internal and external, becomes connectable to the question it bears on.** The deal is understood better while you are still doing it. Not eighteen months later, in retrospect.

That the record also compounds — that decisions made today are inspectable in three years against what actually happened — is a consequence. Worth having. Not the argument. Reality is confounded, situations differ, and a firm that promises its history will tell it what to do is selling regression analysis to people who know better.

The argument is that a machine which has held the whole deal in structure since the first day, connecting internal and external evidence against an explicit thesis, **makes a better decision and then runs the company better.**

6. What it holds

A question. Not "financial diligence" — that is an activity. *Is the revenue plan real?* Questions nest. Each has a state: open, reducing, resolved, or accepted as unresolved.

The last state does not exist in any system today. It is the state in which most capital is deployed.

Evidence, with a kind.

- **asserted** — someone said it
- **derived** — it follows from something, and the derivation is inspectable
- **observed** — it happened and was recorded
- **attested** — a third party stands behind it, with consequences if wrong

Not metadata. It is the difference between a number in a deck and the same number in a model. Strip it: two identical figures. Keep it: a hierarchy of trust.

And it composes. A conclusion built on derived evidence resting on asserted evidence is an assertion with arithmetic on top. The system sees this. A reader of a memo cannot.

Evidence attaches to questions, not to deals. An expert call on manufacturing scale-up is filed today under the deal that paid for it. That deal dies; the call becomes unfindable. Here it attaches to a *type of question* — does this ramp hold? — and any future deal raising the same question retrieves it. Not by keyword. By what it bears on.

An agent. A typed input, a typed output, a defined set of operations, an authority. Not "an AI that does things." A procedure that can be held accountable, because what it may do is

written down.

A policy.

Operation	Authority
Read internal data	autonomous
Query a connected system	autonomous
Write to deal state	autonomous, audited
Flag a contradiction	autonomous
Contact an external party	approval
Commit the firm's position	approval

An agent may notice three sources disagree. It may not email the counterparty to find out which is right. The first is perception. The second is the firm speaking.

A decision. Not the moment of certainty. The moment you judge that what is established supports the commitment, given what is not. It records both halves: what was resolved and with what strength; what was accepted as unresolved, and why that was tolerable.

The second half has never appeared in any memo.

How it works

7. Origination and screening

Today these are separate only because a human cannot screen everything, and so filters by whatever reaches them first.

The system scans against the thesis — a structure, not a paragraph — and knows what each person on the team is working on. A company surfaces with the reason it fits, everything already known about it from every reachable source, the strongest path to management computed from the observed relationship graph across the firm and its portfolio, and the narrative that would land given what the fund already owns.

Not "who do we know." **Who has the relationship that will produce a meeting.**

Inbound runs the same operation in reverse. A deck is not summarised. It is judged against stated criteria — revenue floor, growth, profitability, ownership structure, whatever the fund has said — and it either surfaces with a reason or it does not.

8. Diligence

The deal opens as a structure of questions. The human states the thesis and what must be

true for it to hold; the system decomposes it and proposes the sub-questions; the human corrects. Twenty minutes, once.

This is the only structured input the system ever asks for.

Then the work runs. Artifacts stay where they are. The model stays in Excel and the system reads it — when row 42 derives a growth rate, that is a derived claim against the question *do the margins hold?*, carrying its derivation. The deck asserts a different rate. The management call asserts a third.

Three sources, three numbers, one derivation. Nobody opened three files, because nobody would have thought to.

The system does not adjudicate. It says: *these do not reconcile, only one shows its working, and this bears on a question you have not closed.*

That is the demonstration that **the truth of a deal lives in the relationship between artifacts, not inside any of them** — and that a tool showing one file at a time makes it structurally invisible.

Agents run continuously within authority. Comparables refresh. Contradictions surface unrequested. Filings are read the day they publish.

And the system projects forward. It ranks open questions by how much the rest of the structure depends on them: *this expert call is worth little — whatever it returns, the case remains decided elsewhere. This verification decides it.*

That sentence is unavailable to any firm today. It requires holding every workstream simultaneously, and the firm is organised precisely so that each person holds one. **Two uncertainties in different workstreams that look independent and are not — where resolving one makes the other moot — are invisible to the org chart and obvious to the structure.**

In a live call, it can tell you what to ask next, because it knows which question is open and which answer closes it.

9. Investment Committee

The memo is not written, because it was never a document. It is a view onto the question structure: what is resolved, with what evidence and of what kind; what is open; what the return depends on that has no evidence behind it at all.

The committee can be shadowed before it convenes — prior objections reconstructed from how this partner has treated this class of question before. Not to pre-empt. To ensure the answer exists before the room does.

The IC produces the decision. Who committed, to what, on the strength of what, leaving what unresolved.

10. Term sheet and closing

Months of legal work. Every negotiated term attaches to the question it exists to address. A protective provision is not a term; it is a response to something the IC accepted as unresolved.

So when the term moves in negotiation, **the system knows which unresolved question has just been re-exposed.** The trade-off is not legal. It is the one already made at IC, resurfacing under a different name — and the person conceding can be shown exactly what they are conceding.

11. Ownership

This is where the money is, and it is the section most firms would pay for first.

Not monitoring. **Operating.**

A portfolio company reports monthly. Today someone reads the pack, or does not, and a delta appears on a dashboard weeks later.

Here, an agent inside the system is the counterparty to the company. It requests the pack on schedule. It reads the management accounts against the last twelve. It notices that revenue recognition changed and that the change was not disclosed. It notices the budget miss and does not report it as a number — it reports it as a falsification: *this miss contradicts the pipeline conversion assumption accepted at IC on the strength of contracted backlog; contracted backlog has now fallen for two consecutive quarters; here is what was said at the time and by whom.*

It asks management directly. It escalates what matters and holds what does not.

In buyout this is the work of the operating team, continuously, across every asset. Value creation plans are not documents that decay in a drawer; they are structures of questions with owners and evidence, and the system knows on any given Tuesday which initiative is behind and which assumption underneath it has quietly stopped being true. In growth and venture it is the work nobody has capacity for, which is why boards are surprised.

Add-on acquisitions, refinancings, management changes, a competitor's price move — each is evidence bearing on a thesis the system holds in structure, not in prose.

12. Exit

The outcome attaches to the decision. Assumed against realised.

The firm's process is linear — originate, screen, decide, close, own, exit — and every stage discards the state of the last. One arrow runs backwards: outcome, back to the type of question that was accepted as unresolved.

An investor's judgement is precisely this, held in one head, unfalsifiable, gone when they leave. Here it is held by the firm, with the evidence attached.

It requires no historical archive. It works from the first decision recorded and compounds forward from the day the system is switched on.

Objections

"You'll become a CRM." A product becomes a CRM the moment it has a field a human must maintain. There is exactly one structured input here, at deal open, taking twenty minutes, once. Everything after enters because it arrived somewhere the system was already watching.

"Anthropic will eat you alive." An assistant with tools can answer any question about a deal. It cannot hold the deal in structure, because nothing in the corpus says what is open, what is resolved, or what was accepted without being examined. That structure is created by operating, not by retrieval, and it is what we own.

"Nobody will use it." Every product in this category has failed because it demanded work before it returned any. This one begins by doing the screening, the reading, and the reconciliation, and asks for twenty minutes of structure only after a deal is worth opening. If it ever requires you to go and update something, it has failed, and that will be obvious immediately.

"Investors won't let a machine near the company." It does not go near the company without authority. Reading, querying, and flagging are autonomous. Contacting anyone is not. The boundary is a table, and the table is auditable.

"Reality is too idiosyncratic for past decisions to inform new ones." Correct, and this does not depend on that. The value is that the current deal is held in structure, from day one, with every internal and external data point connected to the question it bears on. Historical inspection is a by-product.

"Compliance will kill it." Every operation carries provenance, authority, and an audit record. The reason regulated firms cannot deploy an agent today is that nobody can say afterwards what it was permitted to do. Here that is a table, written before anything runs.

What it does not do

It does not decide.

It reads everything, holds every workstream at once, and computes which open question the rest depend on. It cannot judge that what is established is sufficient given what is not. That commits capital and the firm's name, and belongs to whoever bears the consequence.

What changes is not who decides. It is what they know when they do — including, for the first time, an accurate account of what they are choosing not to know.

Build order

First: the decision record. No intelligence. A structured record of what was resolved, what was accepted as unresolved, by whom, on what basis — captured where the decision is made. Ship it late and everything downstream starts late.

Second: questions and typed evidence. The structure that makes reasoning addressable. Unglamorous. Load-bearing.

Third: one agent — contradiction. It touches only internal artifacts. No permission, no legal review, no external contract. It runs the day the structure exists, and it produces the moment a partner sees three irreconcilable numbers nobody had put side by side.

Fourth: the policy table. Days of work. Without it nothing deploys anywhere that answers to an LP.

Fifth: retrieval across questions.

Then: the same loop, aimed at each stage. Origination, ownership, exit are not separate products. They are one mechanism pointed at different moments in the life of an asset.

Beyond private markets

Buyout, growth, venture. Then family offices, then credit.

The general form is worth naming, because it determines the size of this.

Every industry that reasons before it commits, and later discovers whether it was right, has the same missing layer. The commitment is recorded. The basis for it evaporates.

Underwriting. Credit. Clinical decisions. Litigation. Procurement. In each, a stack of tools exists whose only function is to compensate for software that could not perceive, and which therefore has no reason to continue existing.

What is being built is the layer where intelligence operates on a firm's reasoning rather than its files — and the precondition, which nobody has, for agentic work to be orchestrated, bounded, and held to account.

Private markets first: the decisions are legible, the outcomes eventually unambiguous, and the people doing the work already hate everything they use.